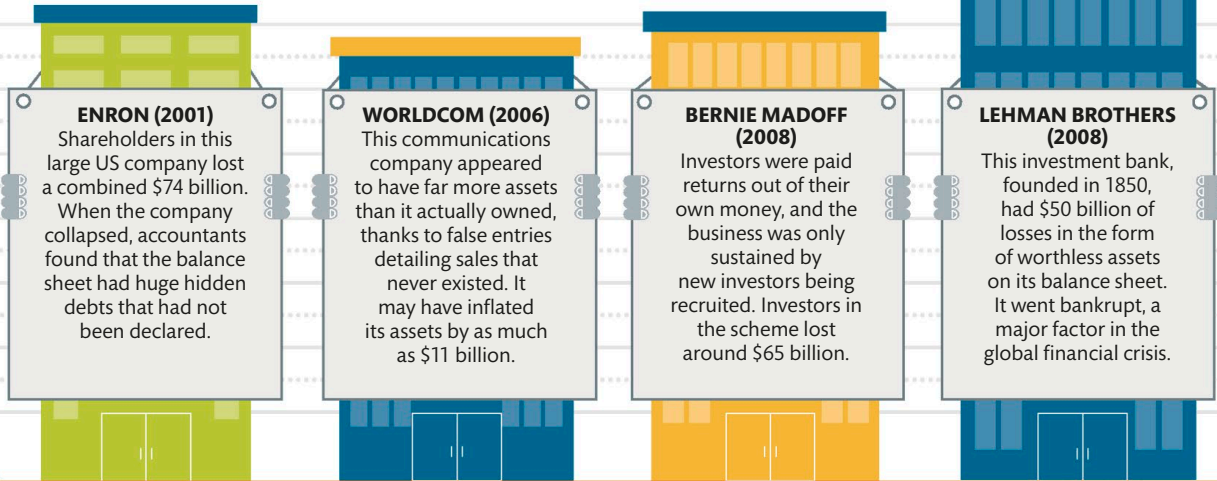




## FAMOUS ACCOUNTING SCANDALS

Even large, well-known companies can be guilty of manipulating their profit-and-loss accounts. The biggest scandals of recent years included that of Enron, at the time one of the top seven US companies.



## Smoother earnings

Company B smooths its earnings by setting money aside during profitable years to use at a later date, for example to repay a loan or cover any unexpected large expenses.



## Figures are managed

Income is higher than usual, so the extra revenue is stockpiled and then pushed on to the following year. Profits therefore appear to be steadily increasing.



## ! WARNING

**Reading a company's** financial statement does not always give the full picture. Some of the world's biggest corporate finance scandals have involved hidden losses, loans made to look like income, and misstated profits to make the company in question appear solvent when it is not.

**“We’re not managing profits, we’re managing businesses.”**

Jack Welch